

House File 2763

H-8407

1 Amend House File 2763 as follows:

2 1. Page 1, before line 1 by inserting:

3 <DIVISION I

4 AGRICULTURAL EQUIPMENT REPAIR>

5 2. Page 1, line 1, by striking <322E.1> and inserting
6 <322H.1>

7 3. Page 5, line 22, by striking <322E.2> and inserting
8 <322H.2>

9 4. Page 7, after line 9 by inserting:

10 <DIVISION ____

11 AGRICULTURAL DATA OWNERSHIP AND MARKET COMPETITION

12 Sec. _____. NEW SECTION. 322I.1 Short title.

13 This chapter shall be known and may be cited as the "*Iowa*
14 *Agricultural Data Ownership and Market Competition Act*".

15 Sec. _____. NEW SECTION. 322I.2 Legislative findings and
16 declaration.

17 The general assembly finds and declares all of the
18 following:

19 1. Iowa agricultural producers generate substantial data
20 annually, including yield monitor data, soil analyses, field
21 prescriptions, weather correlations, precision agriculture
22 measurements, livestock health metrics, and operational
23 performance data.

24 2. Agricultural producers currently surrender valuable
25 data to equipment manufacturers, platform companies, and data
26 service providers through opaque terms of service, often
27 receiving no compensation for the data and maintaining no
28 control over its use.

29 3. Seed companies, insurers, commodity traders,
30 agricultural technology firms, financial institutions,
31 government agencies, and others pay premium prices for
32 agricultural data insights, while agricultural producers
33 receive no portion of that value.

34 4. Concentration of agricultural data collection and
35 transformation in a small number of equipment manufacturers and

1 platform companies tends to harm Iowa agricultural producers
2 and rural communities.

3 5. Agriculture is a sector of critical importance to Iowa's
4 economy, food security, and community development.

5 6. Raw agricultural data, consisting of factual
6 observations and measurements generated directly from
7 agricultural equipment or agricultural production operations,
8 cannot be copyrighted under federal law, but when raw
9 agricultural data is transformed through creative processes,
10 analytical methods, or proprietary algorithms, the transformed
11 agricultural data may be considered intellectual property and
12 is eligible for full ownership protection.

13 7. Establishing clear agricultural data ownership
14 principles that recognize agricultural producers' full
15 copyright ownership of transformed agricultural data will
16 empower agricultural producers to capture fair market value
17 for their data while promoting transparency, competition, and
18 innovation in the agricultural sector.

19 8. Preventing excessive market concentration in
20 agricultural data collection and transformation is essential
21 to preserving competitive markets, ensuring fair prices for
22 agricultural producers, and avoiding the harms associated with
23 monopolistic practices.

24 9. It is therefore in the best interests of the people
25 of Iowa to establish clear and comprehensive regulation of
26 agricultural data ownership and use in support of agricultural
27 producers, the agricultural industry, and rural communities.

28 Sec. _____. NEW SECTION. 322I.3 Definitions.

29 As used in this chapter, unless the context otherwise
30 requires:

31 1. "*Agricultural equipment*" means the same as defined in
32 section 322H.1.

33 2. "*Agricultural producer*" or "*producer*" means a person
34 engaged in an agricultural production operation as a landowner,
35 tenant farmer, contract grower, livestock owner, or other

1 agricultural operator.

2 3. "*Agricultural production operation*" means any activity
3 conducted for the purpose of producing an agricultural
4 commodity, including crop production, livestock production,
5 aquaculture, viticulture, or similar activities.

6 4. "*Data owner*" means a person that holds ownership rights
7 in raw agricultural data or transformed agricultural data under
8 section 322I.4.

9 5. a. "*Data service provider*" means a person that
10 collects, receives, accesses, transmits, stores, processes,
11 transforms, aggregates, analyzes, sells, licenses, or
12 otherwise commercializes raw agricultural data or transformed
13 agricultural data.

14 b. "*Data service provider*" includes all of the following:

15 (1) An original equipment manufacturer, as defined in
16 section 322H.1.

17 (2) A platform provider that operates a digital platform,
18 application, or service through which raw agricultural data or
19 transformed agricultural data is collected, created, stored,
20 transmitted, processed, or otherwise made available.

21 (3) A data aggregator that collects, compiles, or processes
22 raw agricultural data from multiple agricultural producers.

23 (4) An entity that transforms raw agricultural data into
24 transformed agricultural data.

25 (5) An entity that sells, licenses, or otherwise
26 commercializes raw agricultural data or transformed
27 agricultural data.

28 6. "*Data transaction*" means any sale, license, transfer,
29 subscription, grant of access, or other commercial exchange
30 of transformed agricultural data or of an ownership right in
31 transformed agricultural data, whether for a one-time payment,
32 recurring fees, royalties, or other consideration.

33 7. "*Department*" means the department of agriculture and land
34 stewardship.

35 8. "*Landowner*" means a person that is a titleholder, or

1 holds a fee simple interest, a life estate interest, or other
2 possessory interest, in agricultural land.

3 9. "*Livestock*" means the same as defined in section 717.1.

4 10. "*Livestock owner*" means a person that holds ownership
5 rights in livestock.

6 11. "*Markets for transformed agricultural data*" means the
7 commercial channels and purchasers of transformed agricultural
8 data, including all of the following:

9 a. Crop insurance companies and reinsurers seeking actuarial
10 data and risk assessments.

11 b. Seed companies and agricultural biotechnology firms
12 seeking performance validation data.

13 c. Commodity traders and futures markets seeking supply
14 forecasts and production analytics.

15 d. Agricultural lenders and financial institutions seeking
16 creditworthiness assessments and collateral valuations.

17 e. Carbon credit registries and environmental markets
18 seeking sequestration verification.

19 f. Government agencies seeking program compliance
20 verification or statistical data.

21 g. Food processors and retailers seeking supply chain
22 transparency and sustainability documentation.

23 h. Agricultural input suppliers seeking market intelligence
24 and demand forecasting.

25 i. Land valuation services and real estate markets seeking
26 productivity assessments.

27 j. Research institutions and universities seeking data for
28 agricultural studies.

29 k. Water districts and drainage districts seeking usage
30 optimization data.

31 l. Any other commercial, governmental, academic, or
32 nonprofit entity that derives value from transformed
33 agricultural data.

34 12. a. "*Raw agricultural data*" means unprocessed
35 factual information and all data generated directly from an

1 agricultural production operation, agricultural equipment
2 operation, or agricultural land, and that satisfies both of the
3 following:

4 (1) Has not been converted to transformed agricultural
5 data.

6 (2) Consists of factual observations and measurements that
7 cannot be copyrighted under federal copyright law.

8 *b. "Raw agricultural data"* includes all of the following:

9 (1) Yield data, soil data, crop data, and field data as
10 directly recorded by equipment or by manual observation.

11 (2) Precision agricultural data, including global
12 positioning system coordinates, application rates, and sensor
13 readings.

14 (3) Equipment operation data, diagnostic data, telematics
15 data, and machine performance data as generated by equipment
16 systems.

17 (4) Livestock data, including health records, production
18 metrics, breeding data, and performance measurements.

19 (5) Weather data, environmental data, and climate data
20 specific to agricultural production operations.

21 (6) Input data, including seed, fertilizer, pesticide,
22 herbicide, diesel exhaust fluid, and fuel usage data.

23 (7) Financial data specific to agricultural production
24 operations.

25 13. *"Transformed agricultural data"* means raw agricultural
26 data that has been processed, analyzed, aggregated, compiled,
27 or otherwise transformed through the application of proprietary
28 algorithms, analytical methods, creative arrangement, or other
29 intellectual processes sufficient to produce information that
30 may be copyrighted as intellectual property under federal
31 copyright law, including all of the following:

32 *a.* Agronomic analyses and recommendations derived from raw
33 agricultural data.

34 *b.* Predictive models and yield forecasts based on historical
35 and current data.

1 *c.* Field prescriptions and variable-rate application maps.
2 *d.* Comparative benchmark reports and performance analyses.
3 *e.* Validated farming practices documented and substantiated
4 through operational data.
5 *f.* Crop insurance risk assessments and actuarial analyses.
6 *g.* Carbon sequestration quantification and environmental
7 credit documentation.
8 *h.* Supply chain optimization analyses and logistical models.
9 *i.* Equipment efficiency analyses and maintenance prediction
10 models.
11 *j.* Sustainability certifications and compliance
12 documentation.
13 *k.* Market timing analyses and commodity trading insights.
14 *l.* Input optimization recommendations and resource
15 efficiency analyses.
16 *m.* Any other compilation, analysis, or derivative work that
17 meets the originality threshold for copyright protection under
18 federal law.
19 Sec. _____. NEW SECTION. 322I.4 **Agricultural data ownership**
20 **— rights of agricultural producers.**
21 1. An agricultural producer that generates raw agricultural
22 data from the producer's agricultural equipment or agricultural
23 production operation retains ownership of that raw agricultural
24 data and may do all of the following:
25 *a.* Access, possess, and control the raw agricultural data.
26 *b.* Receive copies of the raw agricultural data in a
27 standardized, portable, machine-readable format from a data
28 service provider.
29 *c.* Share the raw agricultural data with a data service
30 provider of the producer's choosing.
31 *d.* Request deletion of the raw agricultural data from a data
32 service provider's systems.
33 *e.* Receive information from a data service provider
34 regarding how the raw agricultural data is being used,
35 transformed, and commercialized.

1 *f.* Receive fair market value compensation from a data
2 service provider when the raw agricultural data is used
3 to create transformed agricultural data or is otherwise
4 commercialized.

5 2. An agricultural producer that provides raw agricultural
6 data to a data service provider that converts the raw
7 agricultural data into transformed agricultural data has full
8 ownership rights in the transformed agricultural data and may
9 do all of the following:

10 *a.* Copyright the transformed agricultural data.
11 *b.* Reproduce the transformed agricultural data.
12 *c.* Prepare, or contract for the preparation of, derivative
13 works based on the transformed agricultural data.
14 *d.* Distribute copies of the transformed agricultural data.
15 *e.* Display the transformed agricultural data publicly.
16 *f.* License or sell the transformed agricultural data in any
17 market and for any lawful purpose.

18 *g.* Receive fair market value compensation from a data
19 service provider when the transformed agricultural data is
20 commercialized by others.

21 3. *a.* Except as provided in subsection 2, 4, or 5,
22 raw agricultural data generated by a landowner from a crop
23 production operation, and transformed agricultural data derived
24 from that raw agricultural data, belongs to the landowner of
25 the agricultural land from which the raw agricultural data was
26 generated.

27 *b.* A landowner that leases land to a tenant farmer or other
28 agricultural producer retains ownership of the raw agricultural
29 data generated from crop production on that land unless
30 otherwise provided by written agreement between the landowner
31 and the tenant farmer or other agricultural producer.

32 4. *a.* Raw agricultural data generated from a livestock
33 operation, referred to in this chapter as "*livestock data*",
34 and transformed agricultural data derived from that raw
35 agricultural data, belongs to the owner of the livestock from

1 which the raw agricultural data was generated, regardless of
2 where the livestock is housed or whether a person other than
3 the livestock owner manages the livestock, unless otherwise
4 provided by written agreement between the parties.

5 **b.** A landowner of land on which a livestock operation is
6 conducted, and who is not the owner of the livestock, does
7 not own and has no claim to the livestock data generated from
8 the livestock operation unless otherwise provided by written
9 agreement between the owner of the livestock and the landowner.

10 **5. a.** Raw agricultural data generated from agricultural
11 equipment during an agricultural production operation that is
12 related to the use of the agricultural equipment, referred to
13 in this chapter as "*equipment operation data*", and transformed
14 agricultural data derived from that raw agricultural data,
15 belongs to the owner or lessee of the agricultural equipment
16 at the time the raw agricultural data was generated, unless
17 otherwise provided by written agreement between the parties.

18 **b.** In accordance with subsection 3, even if agricultural
19 equipment is used during crop production, raw agricultural data
20 generated from crop production belongs to the landowner if the
21 raw agricultural data is related to the crop production. If
22 the raw agricultural data is equipment operation data and is
23 related to the use of the agricultural equipment in the crop
24 production, the raw agricultural data belongs to the owner or
25 lessee of the agricultural equipment.

26 **6. a.** A data owner's rights regarding raw agricultural data
27 or transformed agricultural data granted under this chapter
28 shall not be waived or transferred by a browsewrap agreement,
29 a clickwrap agreement, terms of service, an end user license
30 agreement, or a similar instrument.

31 **b.** A data owner's rights regarding raw agricultural data
32 or transformed agricultural data may be waived, transferred,
33 or voided only if the data owner provides express, informed,
34 written consent that specifically acknowledges the waiver,
35 transfer, or voiding of that right.

1 7. *a.* This section does not prohibit parties from
2 negotiating alternative ownership and revenue-sharing
3 arrangements for raw agricultural data or transformed
4 agricultural data through written agreement.

5 *b.* An agricultural producer may negotiate ownership
6 and revenue-sharing arrangements for the producer's raw
7 agricultural data or transformed agricultural data, including
8 specific sharing arrangements for any of the following:

- 9 (1) Tenant farming.
- 10 (2) Sharecropping.
- 11 (3) A contract growing operation.
- 12 (4) A custom farming operation.
- 13 (5) An equipment leasing arrangement.

14 Sec. _____. NEW SECTION. 322I.5 Data monetization rights —
15 limits on data service providers — revenue sharing.

16 1. An agricultural producer may monetize, either directly
17 or through a data service provider of the producer's choosing,
18 the producer's transformed agricultural data by selling,
19 licensing, or otherwise commercializing the data in markets for
20 transformed agricultural data.

21 2. A data service provider shall not do any of the
22 following:

23 *a.* Prevent, restrict, or impede an agricultural producer
24 from monetizing the producer's transformed agricultural data
25 through third parties.

26 *b.* Limit or restrict the types of markets for transformed
27 agricultural data in which an agricultural producer may
28 participate.

29 *c.* Impose contractual provisions that grant the data service
30 provider exclusive rights to the agricultural producer's raw
31 agricultural data or transformed agricultural data without
32 fair market value compensation and the informed consent of the
33 agricultural producer.

34 *d.* Discriminate or retaliate against an agricultural
35 producer in terms, pricing, or service based on the producer's

1 monetization of transformed agricultural data.

2 3. When a data service provider sells, licenses, or
3 otherwise commercializes transformed agricultural data, all of
4 the following shall apply:

5 a. The data owner shall receive fair market value
6 compensation for the use of the data owner's transformed
7 agricultural data, and the compensation shall be disclosed by
8 the data service provider prior to the data transaction.

9 b. The data service provider shall provide the data
10 owner, upon request, with a transparent accounting of all
11 data transactions involving the data owner's transformed
12 agricultural data, including the markets in which the
13 transformed agricultural data was sold.

14 c. A revenue-sharing arrangement established between the
15 data owner and the data service provider shall be executed by
16 written agreement between the parties and shall specify the
17 percentage or amount of revenue paid to the data owner.

18 d. The data service provider may contract with other persons
19 to facilitate payment of revenue shares to data owners, but
20 shall not reduce or delay payments to the data owner.

21 Sec. _____. NEW SECTION. **322I.6 Enforcement — unfair or**
22 **deceptive trade practice — civil penalty — private right of**
23 **action.**

24 1. A violation of section 322I.5 by a data service provider
25 is an unlawful practice under section 714.16.

26 2. a. The department shall serve as the first-line
27 receiving and investigating authority for a violation of
28 section 322I.5, and may do any of the following:

29 (1) Receive and investigate complaints alleging violations
30 of this chapter.

31 (2) Refer complaints to the attorney general for
32 enforcement under section 714.16.

33 (3) Publish annual reports on agricultural data market
34 concentration and compliance with this chapter.

35 b. The attorney general, on referral from the department or

1 upon the attorney general's own initiative, may bring an action
2 to enforce section 322I.5 under section 714.16, including an
3 action seeking injunctive relief, restitution, civil penalties,
4 and any other relief authorized by section 714.16.

5 3. a. In addition to any other penalty available under
6 section 714.16, a data service provider that violates section
7 322I.5 is subject to a civil penalty of not more than fifty
8 thousand dollars per violation.

9 b. Except for any relief awarded under subsection 4, a civil
10 penalty recovered by the attorney general or the department
11 under section 322I.5 shall be deposited in the general fund of
12 the state.

13 4. An agricultural producer or data owner aggrieved by a
14 violation of section 322I.5 may bring a civil action in a court
15 of competent jurisdiction and, upon prevailing, is entitled to
16 all of the following:

17 a. Actual damages or statutory damages of up to ten thousand
18 dollars per violation, whichever amount is greater.

19 b. Injunctive relief.

20 c. Reasonable attorney fees and costs.

21 5. The remedies provided in this section are cumulative and
22 are in addition to any other remedies available under law.

23 Sec. _____. NEW SECTION. 322I.7 Rulemaking.

24 The department may adopt rules pursuant to chapter 17A to
25 administer and enforce this chapter.

26 Sec. _____. NEW SECTION. 322I.8 Construction — relationship
27 to chapter 322H.

28 1. This chapter shall be construed independently of chapter
29 322H.

30 2. Except as otherwise expressly stated in statute, all of
31 the following apply:

32 a. The definition of "data" in section 322H.1 applies only
33 for purposes of chapter 322H.

34 b. The definitions of "raw agricultural data" and
35 "transformed agricultural data" in section 322I.3 apply only for

1 purposes of this chapter.

2 3. *a.* Nothing in this chapter limits, modifies,
3 or supersedes the obligations of an original equipment
4 manufacturer under chapter 322H.

5 *b.* Nothing in chapter 322H limits, modifies, or supersedes
6 the data ownership rights of an agricultural producer or data
7 owner under this chapter.

8 Sec. _____. Section 714.16, subsection 2, Code 2026, is
9 amended by adding the following new paragraph:

10 NEW PARAGRAPH. *t.* It is an unlawful practice for a person
11 that is a data service provider acting in the course of the
12 person's business to violate section 322I.5.

13 Sec. _____. EFFECTIVE DATE. This division of this Act takes
14 effect July 1, 2027.

15 Sec. _____. APPLICABILITY. This division of this Act applies
16 to transactions and conduct occurring on or after the effective
17 date of this division of this Act.>

18 5. Title page, line 2, by striking <equipment.> and
19 inserting <production, providing penalties, and including
20 effective date and applicability provisions.>

21 6. By renumbering as necessary.

WULF of Black Hawk